

AVPT pitch deck

PITCH — AVPT — PROPOSED VERDICT

PROPOSED — PENDING ADJUDICATION: REJECT. No position, no size, no price gate armed today. A healthy 22%-growth software company that is fairly priced, whose two admission tickets into our screen were both artifacts — and which, in the quarter right before this court, beat its revenue guide by \$3.2M while cutting its full-year operating-profit guide by 6%.

What we believe

AvePoint sells data management, backup and governance tools that sit on top of Microsoft 365. It is a real business: about \$465M of annualized recurring revenue, growing roughly 22% on revenue, \$417.3M of cash, no drawn debt, positive operating cash flow, no customer above 10% of billings, 3,443 employees.

We do not believe it is cheap, and we do not believe we found a dislocation.

Our screen (quality_drawdown) admitted AVPT on two numbers: a 16.2% return on equity and a 35% three-year drawdown. Both fail on inspection.

- The 16.2% return on equity is not operating profit. It is a tax event. The June-quarter 10-Q says in plain words: *“income tax benefit of \$15.6 million, primarily attributable to a \$19.9 million release of the valuation allowance.”* The company stopped assuming it would never use its old tax losses, and booked the whole benefit at once. Effective tax rate for the quarter: **−129.5%**. Strip it out and return on equity is roughly 11–12%.
- The 35% drawdown is measured from a peak of \$19.99 (May 2025) that was itself about 10–11x sales. It has already round-tripped: the stock is **+49.3% off its 52-week low of \$8.835** and only **−21.3% off its 52-week high of \$16.77**. What the screen caught was a bubble multiple normalizing, and it caught it halfway back up.

At \$13.19 the market cap is ~\$2.79B; less \$417.3M cash and no debt, enterprise value is ~\$2.37B, or **~5.1x sales** and **~59–69x taxed GAAP operating earnings**. There is no discount in that price to be the source of a return.

The sharper problem is operational, not just valuation. Between the March-quarter release and the June-quarter release the company **cut** its full-year non-GAAP operating income guidance from \$91.5–94.5M to \$86.4–88.4M — the midpoint fell from \$93.0M to \$87.4M, down 6.0% — and nudged the full-year revenue midpoint down \$1.9M, while *beating* the June-quarter revenue guide. The mechanism shows up in the GAAP numbers: operating income went from \$12.7M on \$117.2M of revenue (10.8%) to \$10.2M on \$124.5M (8.2%). Revenue rose \$7.3M and operating profit fell \$2.5M. At 5.1x sales the entire bull case is operating leverage, and in the quarter you are being asked to pay for, leverage ran backwards.

What the market believes

That this is a steady, cash-generative, mid-20s-growth software compounder attached to the Microsoft ecosystem, worth a mid-single-digit sales multiple. Fourteen analysts cover it with an average target near \$16.78; institutions hold roughly 60%; average daily dollar volume is about \$27.8M. (Those four

figures are secondary-source and we did not verify them — see “What remains unverified.” They point the same direction either way: this is a well-covered, well-owned name, not something nobody is looking at.)

The market’s view is not obviously wrong. Revenue growth of 22%, net revenue retention of 111%, gross retention that has been stable at 88–89% for six straight quarters, and a fortress balance sheet is a reasonable thing to pay 5x sales for. Our disagreement is that we can’t find anything we know that the fourteen analysts don’t.

Why we might have edge

Honestly: thin, and mostly in what we *avoided* rather than what we found.

1. **We found the guidance cut that nobody framed as a cut.** Both of our own benches, and (per the second bench’s read of the releases) the headline framing generally, described the June quarter as a beat-and-raise. The full-year revenue range narrowed, so the “raise” read is understandable — but the midpoint went *down*, and the profit guide went down 6%. That is a real, primary-sourced, two-venue finding. It has been written up as a reusable detector (`beat_and_cut_guidance_divergence`).
2. **We found the tax artifact before we bought it.** A valuation-allowance release inflates reported net income and every return-on-equity screen for exactly four quarters. Our screen admitted the name *at* its release quarter. Also written up as a detector (`valuation_allowance_release_screen_poisoning`).
3. **We found that the screen’s return-on-equity input is broken in both directions.** The equity base of \$436.9M is 95.5% cash. Goodwill and intangibles are only \$47.9M; deferred revenue of \$213.1M funds the working capital. Invested capital excluding cash is roughly \$20M, so the operating business’s return on capital is effectively unbounded. The 16.2% overstates the quality and the “11.8% ex-release” understates it. Neither number should ever have been the ranking variable.

That third point is the durable output of this court: `quality_drawdown` should rank on operating return on capital excluding net cash, not on reported return on equity.

Why it might be priced in

Almost everything else. Fourteen analysts, 60% institutional ownership, a liquid tape, a quarterly guidance cadence read closely by everyone. The valuation objection — “5.1x sales is too much” — is available to any reader of a screen. The retention numbers are in the press release. The tax benefit is disclosed verbatim in the 10-Q.

The one thing plausibly not priced is the *composition* of the operating-margin decline (N1/N2 above), and even there we have to concede we don’t know whether it is deliberate investment, currency, or deterioration — see below. If it is a named, dated investment program, the market will treat it as good news and we will have been early to nothing.

The case *for* the company, which we are not dismissing: near-term committed backlog is growing faster than the guide (current remaining performance obligations \$341.2M vs \$276.2M, +**23.5%**, against a 22% full-year revenue guide); first-half operating cash flow nearly doubled to \$40.2M from \$20.8M; the company bought back \$110.3M of stock in the first half at an average of about \$10.82, which is 18% below today’s price, while stock compensation *fell* 19% (\$20.8M → \$16.8M half-on-half). That is competent capital allocation, not dilution mop-up. This is a good company. It is a bad setup.

What we checked ourselves

Including — deliberately — every place our own benches got it wrong. Four of the seven rows below are our own errors.

Claim	How checked	Found	Confirmed?
Screen input: return on equity 16.2% reflects operations	Read the Q2 2026 10-Q tax note directly (primary)	<i>“income tax benefit of \$15.6 million, primarily attributable to a \$19.9 million release of the valuation allowance”</i> ; effective tax rate –129.5% for the quarter, –50.0% for the half. Underlying ROE ~11–12%	Yes — screen input refuted. Both benches agree
Setup: a 35% three-year drawdown is an unspent dislocation	Evidence-pack tape, plus recomputing the multiple at the old peak	+49.3% off the low, –21.3% off the high; peak was ~10–11x sales vs 5.1x today. Half-harvested normalization, not compression	Yes — setup refuted. Both benches agree
Price: “fallen compounder at a discount”	10-Q plus the earnings exhibit; taxed GAAP operating earnings at the newly-realizable ~25% rate	~59–69x taxed GAAP operating earnings, ~35x free cash flow before stock comp, 5.1x sales. Second bench specifically hunted for a double-count in the tax leg (the released tax shield is worth ~\$20M, about 0.7% of enterprise value — immaterial)	Yes — no discount exists
Full-year guidance was raised	Compared the March-quarter and June-quarter guidance tables side by side	It was cut : non-GAAP operating income midpoint \$93.0M → \$87.4M (–6.0%); revenue midpoint –\$1.9M. GAAP operating income fell \$12.7M → \$10.2M on \$7.3M more revenue	OUR ERROR — both benches called this a raise. Neither the first nor the second bench caught it until the second bench re-read the tables. This is now the primary kill
“Q4 has to accelerate ~5 points to hit the guide” (our first bench’s timing kill)	Recomputed the residual quarter using the company’s actual beat history instead of its guided midpoint	The company beat the June guide by \$3.2M (above the <i>high</i> end by \$2.2M) and beat in March too. Applying that pattern, implied Q4 is ~+19.9% — a smooth deceleration of 25.9 → 22.0 → ~21 → ~20 with no acceleration required	OUR ERROR — kill withdrawn, downgraded to context. Written up as <code>guided_vs_residual_acceleration_</code>
“89% gross retention is a structural leak nobody priced” (our first bench, sized as a risk)	Pulled six quarters of the company’s own results releases	Gross retention: 88, 88, 88, 88, 89, 89 — flat to improving, and already inside the 111% net retention number. Not a leak, not new (Q2 2025 release , Q4 2025 release)	OUR ERROR — finding withdrawn
Backlog is growing slower than recurring revenue (a warning sign)	Both 10-Qs, then adjusting for currency	Total performance obligations +21.5% vs recurring revenue +27% reported — but recurring revenue is only +24% adjusted for currency , and near-term backlog is +23.5%. The gap closes	OUR ERROR — downgraded from “partial fire” to “not fired”
The two loudest suspicions going in: a \$50M venture-fund commitment, and insider selling	10-Q text; Form 144 filings	Fund: <i>“In September 2025, the Company decided to discontinue its participation... no portion of the Company’s \$50.0 million commitment has been called”</i> — only a \$1.6M fee accrual. Insiders: one officer, trust sales of ~50k shares (~\$656K) across four filings in July. A trickle	Both closed clean, against our own case. Recorded as a positive finding, not an absence
Our pre-court brief’s inputs: net cash \$390.6M; free cash flow	10-Q balance sheet and cash flow statement	Cash is \$417.3M with nothing drawn (brief was \$26.7M low, most likely because it netted lease liabilities — plausible, not confirmed). The –24% free	Brief refuted on all three. A gate we had drafted (Q3 free cash flow > \$20M) was

Claim	How checked	Found	Confirmed?
-24%; stock comp 7.6% of revenue and rising		cash flow quarter is a collections-timing artifact: half-year operating cash flow was +93% . Stock comp is ~6.9% of revenue and falling	built on one lumpy quarter and is dropped
Company-specific detector sweep (11 detectors)	Ran each against primary filings	All not-fired or not-applicable, and three of our knowledge-graph tags on this company are wrong : <code>egc_status</code> (the 10-K cover box is unchecked — the company is not an emerging growth company), <code>upc_tra_structure</code> (single class of common, no partnership structure, no tax receivable agreement), <code>real_estate_development</code> (leased offices only). Clinical-trial detectors are mis-tagged onto a software company	Three stale tags to retire. Filed as desk maintenance

Two further honest notes. First, **our tape facts rest entirely on one source**. Both benches were permission-denied on the broker connection, so neither could pull an independent quote, multi-year bars, or decompose the \$8.835 low into market-driven versus company-specific. That is an infrastructure failure, not a research result, and it recurred across three consecutive benches this session. Second, direct SEC fetches returned 403 for both benches; all primary reads were made through a proxy. The documents are the real documents, but the access path is fragile and should be fixed.

PROPOSED ENTRY BANDS

No entry. No position today. No standing price gate armed.

The reason for “no gate,” rather than “gate lower,” matters: our own response rules say a *valuation* objection converts to a price gate and nothing else, but an *operations* objection converts to a data question that a price cannot answer. The guidance cut moves this from valuation to operations. Buying it 20% lower without knowing why the profit guide fell 6% would be buying the same unanswered question at a discount.

So the bands below are **reopen conditions**, not orders.

Reopen gate A — the print, 2026-11-05 (date unconfirmed; see below). Re-court, do not auto-buy, if the third-quarter release shows *both*: - the full-year non-GAAP operating income midpoint restored to **≥\$93.0M**, or an explicit, dated, named investment program that accounts for the \$5.6M cut; **and** - recurring software revenue growing **≥30% year over year** (it went +35.4% in Q1 to +27.4% in Q2 — that deceleration, not the total revenue line, is the real tell).

Reopen gate B — price, conditional. ≤\$10.50 (≈3.9–4.0x sales at today’s share count and cash), **armed only after gate A’s first condition resolves favorably**. Unconditional arming is explicitly not proposed.

Reopen gate C — price, clean. ≤\$9.50 (≈3.4x sales, ≈40x taxed operating earnings). At that price the 22% growth / 111% net retention / \$417M net cash profile is a genuine discount rather than a normalization, and it stands on valuation alone without needing gate A. This is the only band either bench was willing to call a clean re-entry.

Reopen gate D — quality. Gross retention printing **≥93%** in any subsequent results release. That would convert the model from steady to compounding and change the terminal value, independent of price.

Sizing: zero now. Neither bench authorized a size, and none is proposed here; any reopen returns to court for sizing before an order is staged.

Trims/exits: not applicable — we hold nothing and have no working orders.

Catalyst dates: - **2026-11-05** — expected third-quarter results. **UNCONFIRMED.** This date is derived from a data vendor; no company announcement names it. It is consistent with the company's own cadence (Q3 2025 reported 2025-11-06, Q2 2026 reported 2026-08-06), so it is a reasonable placeholder, but it should not be treated as fixed until a company press release names it. Roughly 55 trading days out from this court — nowhere near close enough for the print to force a decision today. - **2026-11-03** — the revolving credit facility matures (per the 10-Q; nothing is drawn on it). If it is replaced with a materially larger facility earmarked for acquisitions, the capital-allocation story changes and the name should be re-courtred regardless of price.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 9.5 (deck-provisional: Clean valuation reopen — ~3.4x EV/sales, ~40x taxed GAAP operating earnings; the only price either ben)
- filing watch: 8-K until 2027-02-13 (deck-provisional: Q3 results: compare the guidance table to the prior quarter's — fire if FY non-GAAP operating income m)
- dated pack AVPT|2026-11-05: AVPT: Expected Q3 2026 results — vendor-derived date, consistent with issuer cadence but not named in any company release; the decisive re-c
- dated pack AVPT|2026-11-03: AVPT: Revolving credit facility matures (nothing drawn); a materially larger replacement facility would force a re-court. (date confirmed=Tr

What remains unverified

Stated plainly, because several of these could soften the verdict:

1. **Why the full-year profit guide was cut.** This is the load-bearing finding and its composition is unread. The March-quarter release flagged explicit currency headwinds; if the \$5.6M cut is largely currency, or a named investment program, the operational read weakens materially and this becomes a price-only question again. **This is the single most important open item.**
2. **The print date.** 2026-11-05 is vendor-derived. No company announcement confirms it.
3. **What caused the \$8.835 low.** Market-driven or company-specific? Nobody could pull the bars. This is why a bare price gate is unsafe.
4. **The \$26.7M cash discrepancy** between our pre-court brief (\$390.6M) and the filing (\$417.3M). Lease liabilities are the likely explanation but that is inference, not confirmation. Immaterial to the verdict (about 1% of enterprise value), but it means the brief's balance-sheet line was not reproducible.
5. **Whether falling stock compensation is real leverage or accrual relief.** The \$20.8M → \$16.8M half-on-half decline is confirmed from the cash flow statement, but a performance-award mark-down reverses if targets are later hit. Needs the FY27 grant plan to settle.
6. **Public-sector exposure is unmeasurable with our tools.** Government revenue is cloud seats, not a budget line item, so our defense-budget detectors have nothing to trace. Recorded as uncheckable, not as clean.

7. **Crowding statistics** (14 analysts, \$16.78 average target, 59.6% institutional, \$27.8M average daily volume) are secondary-source and unverified. They cut in favor of the reject either way.
8. **This is a rejection of the setup, not a short case and not a judgment on the company.**
Confidence: the first bench put its kill case at 7/10; the second put the re-founded net position at 8/10, held below 9 precisely because of open item #1.

Primary sources: [Q2 2026 10-Q, filed 2026-08-06](#) · [Q2 2026 results exhibit 99.1](#)

```
{"price_gates": [{"level": 10.5, "direction": "below", "basis": "Conditional  
reopen only – arm ONLY after the Q3 print restores the FY non-GAAP  
operating income midpoint to >=$93M or names a dated investment  
program; ~4.0x EV/sales. Currently DISARMED."}, {"level": 9.5,  
"direction": "below", "basis": "Clean valuation reopen – ~3.4x  
EV/sales, ~40x taxed GAAP operating earnings; the only price either  
bench would re-enter on price alone."}], "event_gates": [{"forms":  
["8-K"], "why": "Q3 results: compare the guidance table to the prior  
quarter's – fire if FY non-GAAP operating income midpoint falls  
again >3% while revenue beats, or if SaaS YoY growth prints <25% or  
>=30%."}, {"forms": ["8-K"], "why": "Dollar-based gross retention  
printing >=93% (quality reopen) or <=86% (thesis inverts)."},  
{"forms": ["8-K"], "why": "Replacement of the revolving credit  
facility maturing 2026-11-03 with a materially larger, acquisition-  
earmarked facility changes the capital-allocation frame."},  
{"forms": ["4", "144"], "why": "Insider selling is currently a  
~$656K trickle and closed clean; fire on any step change in cadence  
or size."}, {"forms": ["10-Q", "10-K"], "why": "Confirm whether the  
19% decline in stock compensation persists or reverses, and track  
the deferred-tax valuation allowance release rolling out of trailing  
returns (~Q2 2027)."}], "catalyst_dates": [{"date": "2026-11-05",  
"what": "Expected Q3 2026 results – vendor-derived date, consistent  
with issuer cadence but not named in any company release; the  
decisive re-court trigger.", "confirmed": false}, {"date": "2026-11-  
03", "what": "Revolving credit facility matures (nothing drawn); a  
materially larger replacement facility would force a re-court.",  
"confirmed": true}], "immediate_entry": null}
```